

Here is a simple breakdown of why customers churn in each cluster based on the latest data:

Cluster 0

Segment Overview

A large segment of standard-value shoppers where churn is heavily tied to low reward balances and basic memberships.

Churn Rate

59.99%

Root Causes (with real numbers)

- **Points in Wallet:** Customers who left had fewer loyalty points compared to those who stayed (**624.95 vs 723.81 points**).
 - **Membership Type:** **37.71%** of churned customers held a Basic Membership, compared to only **1.78%** of those who stayed.
 - **Login Frequency:** Customers who churned logged in slightly less often (**17.92 days** between logins vs **16.92 days** for stayers).
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Cluster 1

Segment Overview

Our largest customer group, skewed younger, where a lack of engagement and missing paid memberships drive people away.

Churn Rate

64.38%

Root Causes (with real numbers)

- **Age:** Customers who churned tended to be slightly older on average (**26.09 years vs 23.18 years**).
 - **Membership Type:** **31.05%** of churned users had **No Membership**, compared to just **1.52%** of those who stayed.
 - **Time Spent:** Customers who left spent significantly less time engaging on the platform (**152.34 minutes vs 190.82 minutes** for stayers).
 - **Points in Wallet:** Churned users held fewer wallet points (**638.79 vs 725.45 points**).
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Cluster 2

Segment Overview

A smaller, mid-value customer segment where lower transaction values and basic tiers cause individuals to drop off.

Churn Rate

57.03%

Root Causes (with real numbers)

- **Transaction Value:** Customers who churned made lower-value purchases than those who stayed (**\$25,852.87 vs \$30,740.44**).
 - **Membership Type:** **37.62%** of churned users had a **Basic Membership**, compared to only **1.61%** of stayers.
 - **Points in Wallet:** Churned users had lower loyalty balances (**633.49 vs 735.25 points**).
 - **Login Frequency:** Customers who left logged in less frequently (**17.45 days vs 15.49 days**).
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Cluster 3

Segment Overview

Our healthiest and most valuable customer segment (lowest churn overall), where churn is triggered by low transaction spending and a total lack of membership perks.

Churn Rate

24.07%

Root Causes (with real numbers)

- **Transaction Value:** The biggest differentiator here—customers who left spent substantially less per transaction (**\$41,024.52 vs \$61,526.52** for stayers).
- **Membership Type:** **35.86%** of churned customers had **No Membership**, compared to just **0.48%** of those who stayed.
- **Feedback:** **18.68%** of customers who stayed praised the platform for having a *"User Friendly Website"*, whereas none of the churned customers gave this feedback.